Strategic Growth Through AI

Andrews McMeel Universal

Leveraging Generative AI for Operational Excellence at Andrews McMeel Universal

PREPARED BY CHIEF AI OFFICER

CONFIDENTIAL

Company at a Glance

Andrews McMeel Universal is America's largest independent content syndicate and publisher, distributing 125+ comic strips and columns, publishing ~150 books and 200+ calendars annually, and operating GoComics — the world's largest digital comics platform.

$120M

Annual Revenue

Midpoint estimate · Privately held

300

Employees

Kansas City, MO HQ

55

Years Operating

Founded 1970

125+

Syndicated Features

Distributed worldwide

~1B

GoComics Page Views

World's largest online comics platform

CEO Kirsty Melville, only the third CEO in company history (appointed February 2024), is guiding AMU through its most significant strategic transition — from a print-first syndication model to a digital, subscription-driven media company. Most recently, AMU acquired Quirk Books (October 2025), expanding its publishing footprint and operational complexity.

The Opportunity

Publishing and syndication dramatically lag other industries in AI adoption. AMU stands at a greenfield moment — the chance to set the standard before competitors close the gap.

🏁 First-Mover Advantage

AMU has no disclosed AI strategy as of early 2026 — a greenfield opportunity to set the standard in its category before competitors close the gap.

⚙️ Efficiency Gap

Rights management, royalty processing, and content delivery for 125+ features across thousands of outlets in 120 countries represent massive manual workloads. AI can compress these operations by **25–40%**, releasing capital for growth.

📈 Margin Expansion

With estimated SG&A at 30–40% of revenue (~$36–48M annually), targeting even 20–28% SG&A reduction through AI would add **8–10 percentage points** to operating margin — a transformational outcome for a privately held company.

Why Act Now

Syndication Revenue Erosion

U.S. newspaper publishing revenue declining **2.7% annually** · 136 newspaper closures in the past year alone · 3,500+ closures over two decades · AMU's core print syndication client base is structurally shrinking.

Digital Disruption Accelerating

Google AI Overviews driving **25% drop** in publisher referral traffic · Some outlets reporting 50–90% lower click-throughs · Reuters Institute projects 40%+ decline in search-driven traffic over 3 years · GoComics' ad revenue model faces existential pressure.

Competitor AI Investment

NYT Games recorded **11.2B plays** in 2025 across 11 games — GoComics competes directly · NYT has dedicated AI teams and trained 1,700 newsroom staff on AI tools · HarperCollins and PRH completing AI licensing and workflow deals · AMU has no public AI initiatives — the gap is widening.

Operational Complexity Increasing

Quirk Books acquisition (2025) adds complexity to rights, royalties, and fulfillment · Amber Lotus acquisition (2023) adds product lines · Multi-format, multi-territory distribution demands are rising · Manual processes that worked at $80M scale are straining at $120M+.

AI adoption is not optional — it is the operating requirement for a post-print media company.

AI Applications Across SG&A Functions

Six core operational areas where AI delivers measurable, near-term financial impact across AMU's business.

Finance & Accounting

Automated royalty calculations across 300+ creators · Multi-format, multi-currency processing · AI-assisted financial close and cash flow forecasting

Impact: 25–40% labor reduction · $1.5M–$2.5M savings

Sales & Marketing

AI-powered licensing prospect scoring · Automated pitch and proposal generation · Predictive print run demand analytics · Content performance intelligence

Impact: 30–40% efficiency gain · $1.2M–$2.0M savings

Customer Service

24/7 AI chatbot for newspaper/digital client inquiries · Self-service portal for content delivery, billing, and technical access · Automated Tier 1 deflection

Impact: 50–60% inquiry deflection · $1.0M–$1.8M savings

HR & Talent

AI recruiting chatbot for editorial and digital roles · Onboarding automation · Retention analytics for creator and staff relations · Compliance workflow automation

Impact: 30–35% faster hiring · $400K–$650K savings

Legal & Compliance

AI contract review for creator agreements and licensing deals · Automated rights availability checking across 120 countries · Regulatory and rights compliance monitoring

Impact: 20–35% rights management cost reduction · $500K–$900K savings

Content & Rights Operations

Automated metadata tagging and multi-platform content delivery · AI-powered format conversion for GoComics, print, and digital · Puzzle and game content generation and scaling

Impact: 15–25% editorial/production cost reduction · $1.5M–$3.0M savings

Consolidated Financial Impact

Function	Annual Value Range	Timeline
Finance & Accounting	$1.5M – $2.5M	6–12 months
Sales & Marketing	$1.2M – $2.0M	12–18 months
Customer Service	$1.0M – $1.8M	6–9 months
HR & Talent	$400K – $650K	6–12 months
Legal & Compliance	$500K – $900K	9–15 months
Content & Rights Ops	$1.5M – $3.0M	12–24 months
TOTAL IMPACT	**$6.1M – $10.85M**	**36 months**

Investment Required

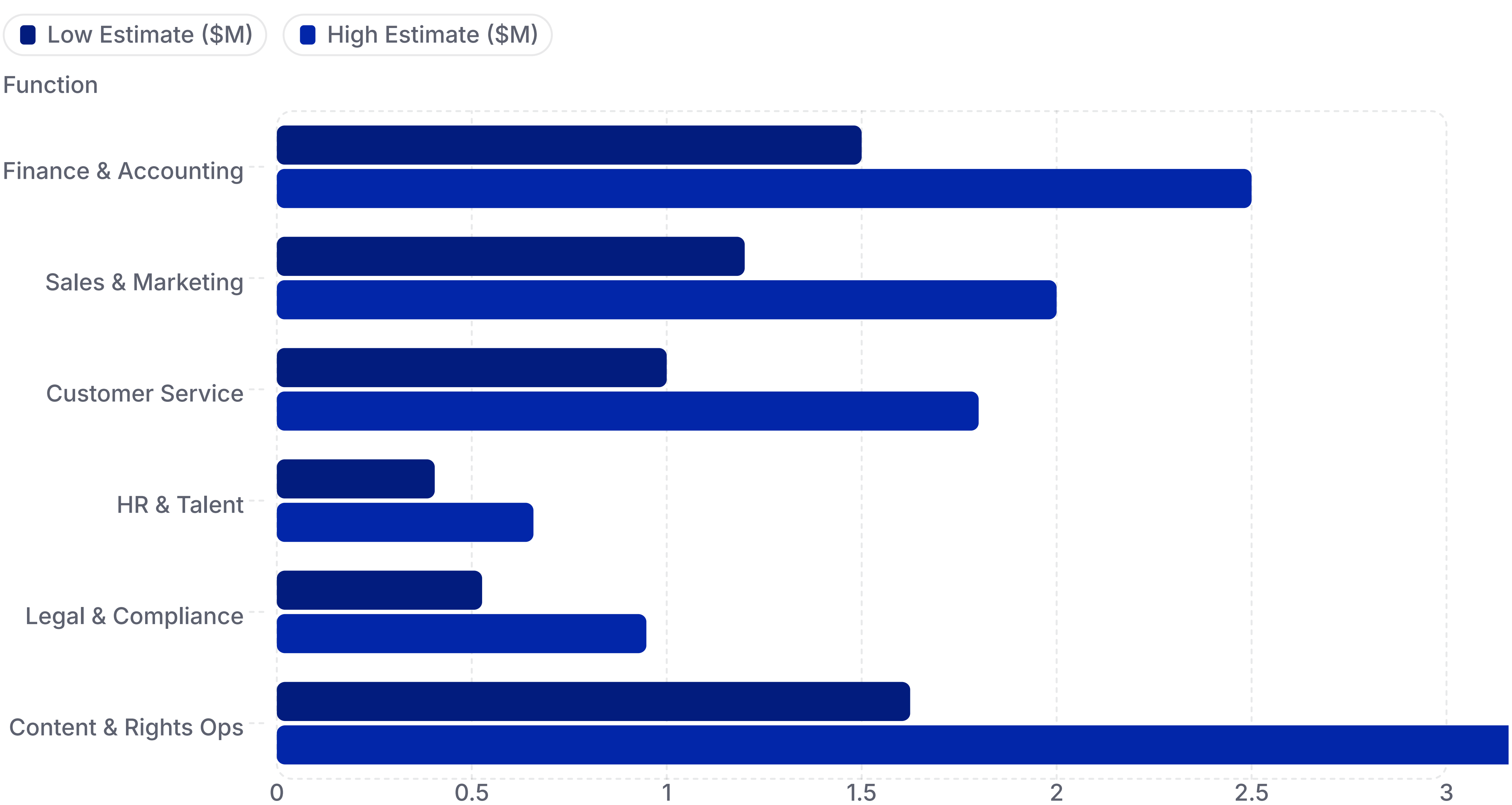
$1.4M – $2.0M over 36 months

Payback Period

8 – 12 months

3-Year ROI

915 – 1,085%



Three-Phase Transformation Roadmap

A structured 36-month journey from quick wins to full AI-enabled operational leadership.

1

Phase 1 · Days 1–90

Fast Wins

- Executive AI Immersion Workshop
- Customer Service Chatbot (GoComics + client support)
- AP and Royalty Automation Pilot
- Sales Proposal and Pitch AI
- AI Governance Framework and Steering Committee

Investment: $140K–$210K

Value: $350K–$550K run-rate

2

Phase 2 · Months 4–12

Scale & Integrate

- Enterprise AI Platform deployment
- Automated Royalty Engine with creator self-service portal
- AI Contract Review for rights and licensing
- Content Metadata Automation for GoComics
- Sales Intelligence and Licensing Prospect Scoring

Investment: $750K–$1.1M

Value: $3.5M–$6.0M run-rate

3

Phase 3 · Months 13–36

Optimize & Lead

- AI Center of Excellence
- Full Rights Management Platform (120-country compliance)
- GoComics Personalization and Subscription Conversion Engine
- AI Puzzle and Game Generation at Scale
- Predictive Publishing Analytics

Investment: $500K–$700K

Value: $6.1M–$10.85M run-rate

Risk Management

Six key risks identified and mitigated through proactive governance, policy, and architecture decisions.

1

Fragmented Adoption

Prob: HIGH · Enterprise-wide governance framework + AI Steering Committee by Month 6 · Platform-first architecture to prevent siloed tools.

2

Creator & Author Relations

Prob: MEDIUM-HIGH · Impact: HIGH · AI used only for internal operations — never for editorial content without creator consent · Clear "AI augments, not replaces" policy communicated to all 300+ creator relationships.

3

Data Quality Gaps

Prob: MEDIUM · Rights and royalty data may be fragmented across legacy systems · Phase 1 data readiness assessment required before royalty automation deployment.

4

Change Resistance

Prob: MEDIUM · 55-year-old culture with deep editorial values · Tiered training for all ~300 employees · Frame AI as capacity expansion — same team, greater reach.

5

Cybersecurity & IP Protection

Impact: HIGH · Creator IP and unpublished manuscripts require private cloud storage · SOC 2 / ISO 27001 vendor requirements mandatory · Annual penetration testing.

6

Vendor Lock-In

Prob: MEDIUM · Open API requirements in all contracts · Multi-vendor strategy · Data portability provisions · Quarterly technology reviews.

The Valuation Transformation

AI investment creates a step-change in enterprise value — turning a strong independent publisher into a premium-multiple digital media platform.

Today

~$9.6M–$12.0M EBITDA (8–10% margin on ~$120M revenue) × 6–8x multiple

$58M – $96M

Current Enterprise Value

Year 3 (Post-AI)

~$15.7M–$22.85M EBITDA (AI adds $6.1M–$10.85M) × 7–9x multiple

$110M – $206M

Projected Enterprise Value

💰 Enterprise Value Created

$52M – $110M on $1.4M–$2.0M investment

🏢 Remain Independent

Top-quartile 13–19% EBITDA margins — funding digital expansion without outside capital

🤝 Attract Strategic Buyers

Major media, Hearst, Meredith successors, private equity — at premium multiples for AI-enabled media platforms

📱 Scale GoComics

Grow subscriptions and licensing revenue without proportional SG&A growth

The Choice Is Clear

❌ Option A: Status Quo

- Print syndication erosion accelerates
- GoComics ad revenue declines with traffic
- Operational complexity outpaces manual capacity
- Competitor AI advantage widens
- Valuation stagnation

✅ Option B: AI Transformation

- **$6.1M–$10.85M** annual EBITDA uplift
- 8–10 point margin expansion
- **$52M–$110M** enterprise value created
- GoComics positioned to compete with NYT Games
- Family independence preserved with institutional-grade efficiency

Immediate Next Steps — Week 1

1. Day 1–3

CEO convenes leadership · Secure board endorsement · Commit to investment plan

2. Week 1

Engage AI consulting partner · Assign Phase 1 lead · Allocate $140K–$210K Phase 1 budget

3. Week 1–2

Company-wide communication: AI as capability multiplier, not workforce reduction · Invite creator and employee input

4. Week 2–4

Select 3–4 Phase 1 pilots · Begin Executive Immersion training

> "The transformation that ensures AMU's next 55 years begins with a single decision — made now."

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